UNITED STATES BANKRUPTCY COURT
SOUTHERN DISTRICT OF FLORIDA

In re: **_____ DIVISION**

POMPANO PROPERTY SOLUTIONS, LLC
Debtor.
_____/

CASE NO.: 24-12395-PDR
CHAPTER 7

SONYA S. SLOTT, TRUSTEE,
Plaintiff,
vs.
PRO SEO LLC,
Defendant.
_____/

ADV. CASE NO.:

TRUSTEE'S COMPLAINT TO SELL REAL PROPERTY PURSUANT TO 11 U.S.C. §363(h) AND DISTRIBUTE PROCEEDS PURSUANT TO §363(j)

Sonya S. Slott, as Chapter 7 Trustee of the Bankruptcy Estate for the above-named Debtor (the "Trustee" or "Plaintiff") by undersigned counsel, hereby sues the Defendant, individually, and states as follows:

Jurisdiction & Venue

1. This is an adversary proceeding brought by the Trustee under Fed. R. Bank. P. 7001, et seq. to sell real property pursuant to 11 U.S.C. §363(h) and to distribute the net proceeds of sale pursuant to §363(j).

2. This Court has jurisdiction over the subject matter of this proceeding pursuant to 28 U.S.C. §§ 157 and 1334(b) as well as Federal Bankruptcy Rule 7001(3).

3. This is a core proceeding for which the Court is authorized to hear and determine all matters regarding this case in accordance with 28 U.S.C. §157(b)(2)(A), (N), and (O).

4. The Plaintiff consents to the entry of all judgments and final orders by the above-captioned bankruptcy court.

5. Venue is proper in this jurisdiction pursuant to 28 U.S.C. §1409(a).

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The Parties & Procedural Background

6. The underlying Chapter 7 case was commenced by the filing of a voluntary Chapter 7 bankruptcy petition for the Debtor, Pompano Property Solutions, LLC (the "Debtor") on March 13, 2024 (the "Petition Date").

7. The Plaintiff was duly appointed as the Chapter 7 Trustee for the Debtor's estate that same day.

8. This action is brought solely in Plaintiff's capacity as Trustee.

9. Upon information and belief, the defendant Pro Seo LLC (the "Defendant") is a Florida Limited Liability Company engaged in business in Broward County, Florida.

Background Facts Common to All Counts

10. As of the Petition Date, the Debtor owned a fifty percent (50%) joint interest in a single-family home located at 5311 NE 10th Ave, Deerfield Beach, FL 33064, with the abbreviated legal description of "PARK MANOR 52-10 B LOT 11 BLK 2" (the "Real Property"). See Exhibit "A" attached.

11. The Defendant is the other 50% joint interest holder in the Real Property.

12. As of Petition Date, the Real Property was owned by the Debtor and the Defendant as tenants in common.

13. Upon information and belief, neither the Debtor nor Defendant reside at the Real Property, and as both the Debtor and Defendant are business entities, neither could claim the Real Property as their homestead in any event.

14. Upon further information and belief, no other party resides at the Real Property.

15. The Real Property has a 2024 an assessed value of $580,840.00 per the Broward County tax assessor. See Exhibit "B."

16. Per the Debtor's Schedule D, the Real Property is encumbered by one debt, a mortgage from a private lender, LL Capital LLC, in the amount of $280,000.00 (Item 2.2) [main Case ECF #25] (the "LL Mortgage").

14. Upon further information and belief, no other party resides at the Real Property.

15. The Real Property has a 2024 an assessed value of $580,840.00 per the Broward County tax assessor. *See* Exhibit "B."

16. Per the Debtor's Schedule D, the Real Property is encumbered by one debt, a mortgage from a private lender, LL Capital LLC, in the amount of $280,000.00 (Item 2.2) [main case ECF #26] (the "LL Mortgage").

17. At the commencement of a bankruptcy case, an estate is created comprised of "all legal or equitable interest of the debtor in property." 11 U.S.C. §541(a)(1). The Debtor's interest in the Real Property is non-exempt property of the bankruptcy estate under 11 U.S.C. §541 and subject to administration by the Trustee.

Count I: Sale of Estate's Undivided Interest in Real Property Pursuant to 11 U.S.C. §363(h)

18. The Plaintiff realleges and reaffirms those allegations contained in paragraphs 1 through 17 above.

19. 11 U.S.C. §363(h) provides, in pertinent part,

> (h) Notwithstanding subsection (f) of this section, the trustee may sell both the estate's interest, under subsection (b) or (c) of this section, and the interest of any co-owner in property in which the debtor had, at the time of the commencement of the case, an undivided interest as a tenant in common, joint tenant, or tenant by the entirety, only if— (1) partition in kind of such property among the estate and such co-owners is impracticable; (2) sale of the estate's undivided interest in such property would realize significantly less for the estate than sale of such property free of the interests of such co-owners; (3) the benefit to the estate of a sale of such property free of the interests of co-owners outweighs the detriment, if any, to such co-owners; and (4) such property is not used in the production, transmission, or distribution, for sale, of electric energy or of natural or synthetic gas for heat, light, or power.

20. The Trustee seeks to sell the Bankruptcy Estate's interest and the interest of the Defendant, as co-owner of Real Property.

21. Partition in kind of the Real Property among the Bankruptcy Estate and the Defendant is impractical. There is no practicable manner of partition of the Real Property, other than a sale and division of the proceeds.

22. The sale of the Estate's interest in the Real Property (subject to the interest of the Defendant) would realize significantly less for the Estate than the sale of such property free of the interest of the Defendant. There is a chilling effect upon any prospective purchase of the Estate's interest as long as the Defendant retains any interest in the Real Property.

20. The Trustee seeks to sell the Bankruptcy Estate's interest and the interest of the Defendant, as co-owners of the Real Property.

21. Partition in kind of the Real Property among the Bankruptcy Estate and the Defendant is impractical. There is no practicable manner of partition of the Real Property, other than a sale and division of the proceeds.

22. The sale of the Estate's interest in the Real Property (subject to the interest of the Defendant) would realize significantly less for the Estate than the sale of such property free of the interest of the Defendant. There is a chilling effect upon any prospective purchase of the Estate's interest as long as the Defendant retains any interest in the Real Property.

23. The benefit to the Estate of a sale of the Real Property free of the interest of the Defendant out-weighs the detriment, if any, to the Defendant. From a sale of the Real Property, the Defendant would receive proceeds equal to its interest of the net sale amount. Additionally, the substantial equity within the Real Property would enable the Defendant to obtain financing to purchase the Bankruptcy Estate's interest in the Real Property, if it chooses to do so.

24. The Real Property is not used in the production, transmission, or distribution, for sale, of electric energy or of natural or synthetic gas for heat, light, or power.

25. 11 U.S.C. §363(j) provides that:

> After a sale of property to which subsection (g) or (h) of this section applies, the trustee shall distribute to the debtor's spouse or the co-owners of such property, as the case may be, and to the estate, the proceeds of such sale, less the costs and expenses, not including any compensation of the trustee, of such sale, according to the interests of such spouse or co-owners, and of the estate.

26. Upon completion of the sale of the Real Property, the Plaintiff seeks authority pursuant to 11 U.S.C. §363(j) to distribute the proceeds of such sale, the costs and expenses according to the respective interests of the Defendant and the Estate, subject to the LL Mortgage.

27. The amount of funds of which would be deemed to be net proceeds should not include any funds necessary to pay any unauthorized liens (if any) placed upon the Real Property by the Defendant.

WHEREFORE, pursuant to 11 U.S.C. §363(h) and Rule 7001(3), Fed. R. Bankr. P., the Plaintiff, Sonya S. Slott, as Chapter 7 Trustee for the bankruptcy estate of Pompano Property Solutions, LLC, by and through undersigned counsel, seeks for the Court to enter a judgment in her favor and against the Defendant, providing that:

(a) The Plaintiff may sell the Estate's interest and the interest of the Defendant, free and clear of the interest of the Defendant;

(b) The Defendant, will be given the right to purchase the Estate's interest in the Real Property at any proposed sale price the Trustee may obtain, pursuant to 11 U.S.C. §363(i);

(e) The Plaintiff may obtain the proceeds of such sale equivalent to the Bankruptcy Estate's interest in the Real Property, and the Defendant may obtain the proceeds of such sale equivalent to the Bankruptcy Estate's interest in the Real Property, less costs and expenses of such sale as provided by 11 U.S.C. §363(j);

(d) Any proceeds that the Defendant shall receive shall be set off by the Trustee to first pay any unauthorrzed liens or other liens placed on the Real Property by the Defendant, if any;

(e) All court costs of this action and attorney fees of this action (as approved and allowed by the Bankruptcy Court) shall be deemed costs of the sale which must be deducted from the proceeds of the sale before any proceeds are then distributed to the Estate and the Defendant; and

(f) Granting any such further relief as the Court deems just and proper.

Reservation of Rights

28. The Trustee reserves her rights to amend this Complaint, upon completion of investigation and discovery, to assert such claims for relief against the Defendant and other responsible parties as may be warranted under the circumstances.

Dated: June 20, 2024

By: /s/ Zachary Malnik, Esq.
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954-423-4469
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Reservation of Rights

28 The Trustee reserves her rights to amend this Complaint, upon completion of investigation and discovery, to assert such claims for relief against the Defendant and other responsible parties as may be warranted under the circumstances.

Dated: June 20, 2024

Respectfully submitted,

The Salkin Law Firm
PO Box 15580
Plantation, FL 33318
954-423-4469

By: /s/ Zachary Malnik, Esq.
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